Corporate Credit Risk Analysis & AI-Assisted Decision Support

Mahindra & Mahindra Limited

FY2024–FY2026 | October 2026

Independent educational portfolio project

Prepared by Tanmay Krishna Sattiraju

₹197,793 cr

FY2026 consolidated revenue from operations

AAA / Stable

CRISIL rating on NCDs (18 September 2026)

₹129,615 cr

FY2026 total borrowings excluding leases

Not an official credit assessment or lending decision.

Strong momentum, with debt and asset quality to monitor

✓ What supports credit

Scale and growth: Revenue from operations rose 24.2% in FY2026; PBT margin widened to 12.73% from 11.49%.

Cash generation: Operating cash flow improved to ₹11,657.36 cr in FY2026, after negative FY2024 and FY2025.

External ratings: CRISIL: NCDs AAA/Stable; short-term bank facilities and commercial paper A1+.

! What needs monitoring

Debt and maturities: Borrowings of ₹129,614.50 cr; current borrowings ₹56,144.57 cr, 43% of the total.

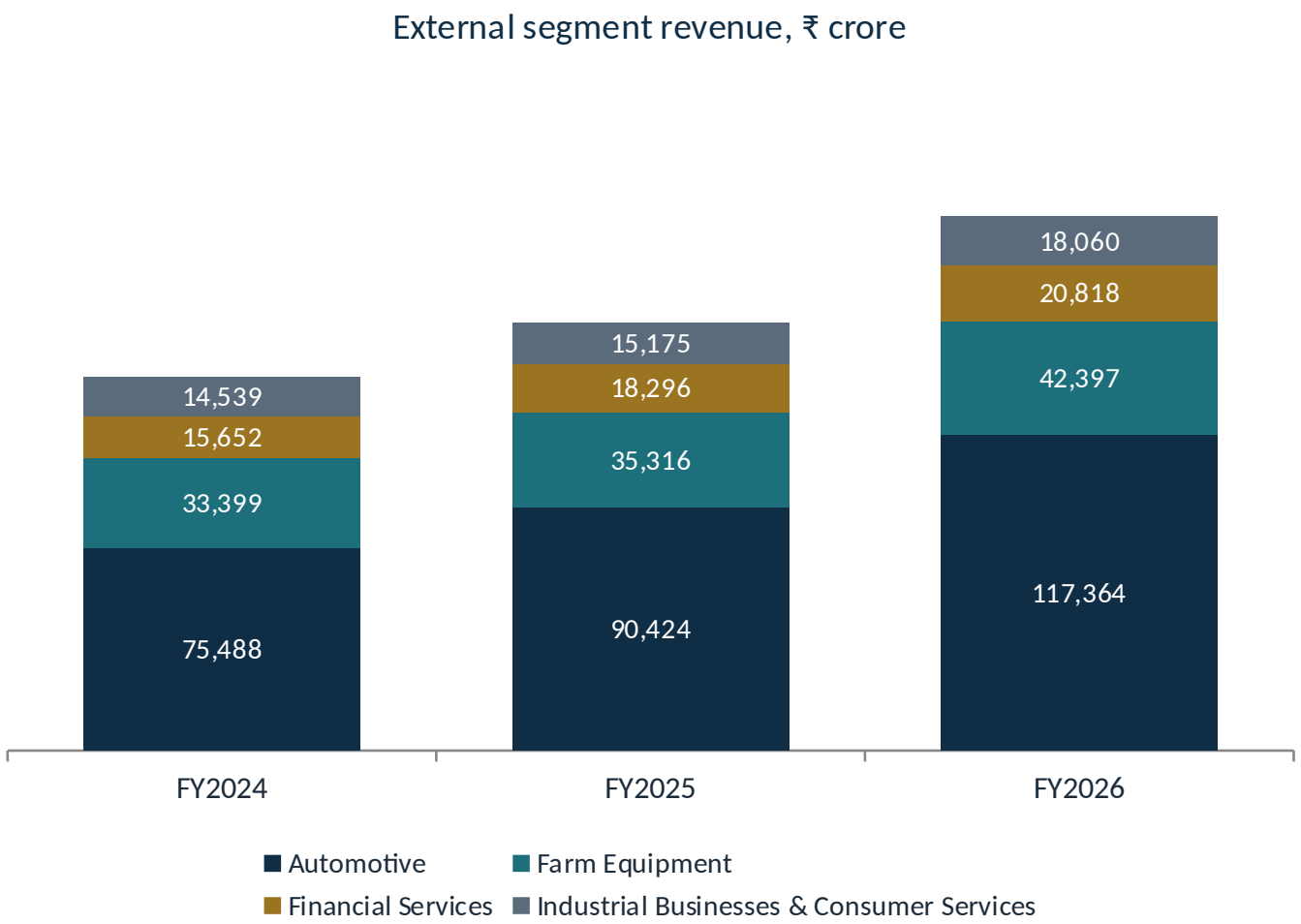
Financial Services: Gross Stage 3 ratio fell to 3.42%, yet asset quality needs ongoing monitoring.

Open questions: Is the CFO rebound sustainable, and how will capital be allocated?

Balanced view: no internal rating is assigned. External CRISIL ratings are cited as reported.

Sources: M&M FY2025 and FY2026 annual reports (consolidated); CRISIL rating rationale, 18 September 2026. Percentages calculated from reported figures.

Diversified segments, with Automotive driving growth



Diversified mix. Four segments; Automotive was 59.1% of FY2026 segment revenue and Farm Equipment 21.3%.

Cyclicality. Automotive and tractor demand move with consumer, rural and economic cycles.

Financial Services. Lending risk differs from manufacturing, so it needs separate asset-quality analysis (slide 7).

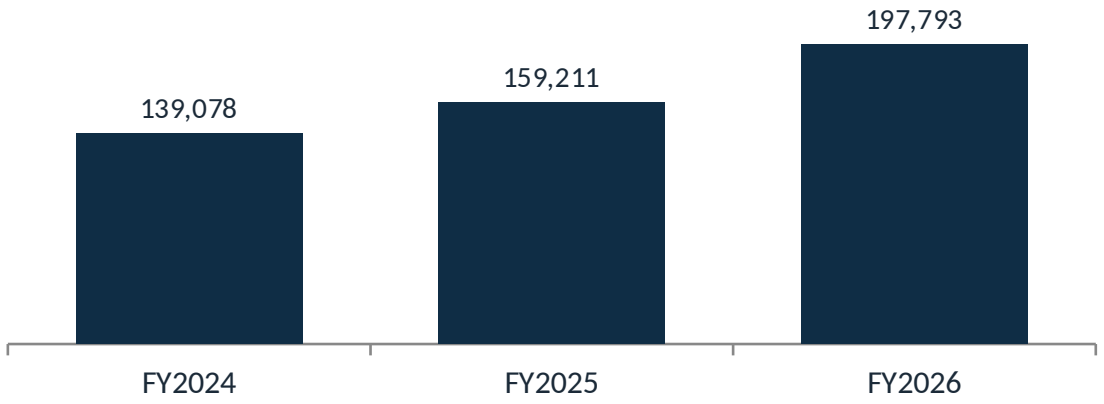
Scope difference

FY2026 segment revenue totals ₹198,638.55 cr; consolidated revenue from operations is ₹197,792.78 cr (gap ₹845.77 cr). Definitions differ and are kept as reported.

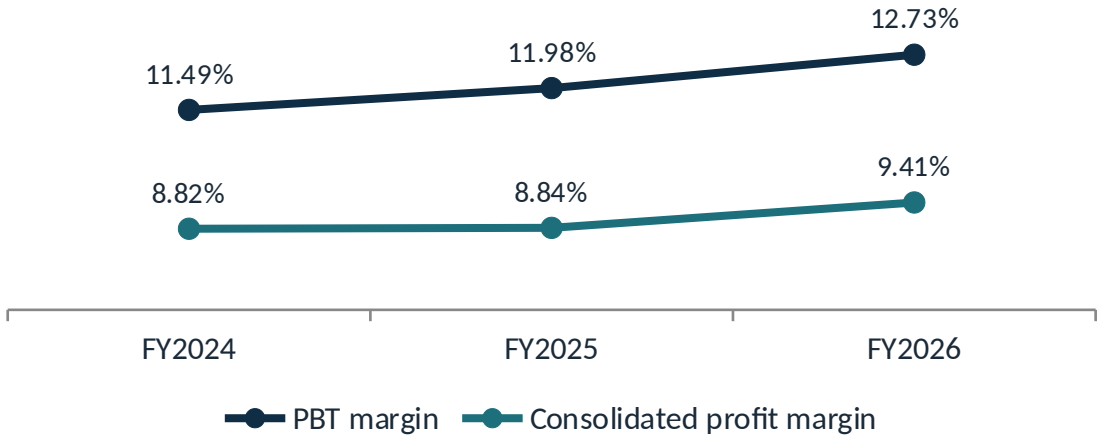
Source: M&M FY2026 annual report, segment reporting (external revenue). Segment shares calculated from the four-segment total.

Revenue grew 24.2% in FY2026 and margins widened

Revenue from operations, ₹ crore



Margins, % of revenue from operations



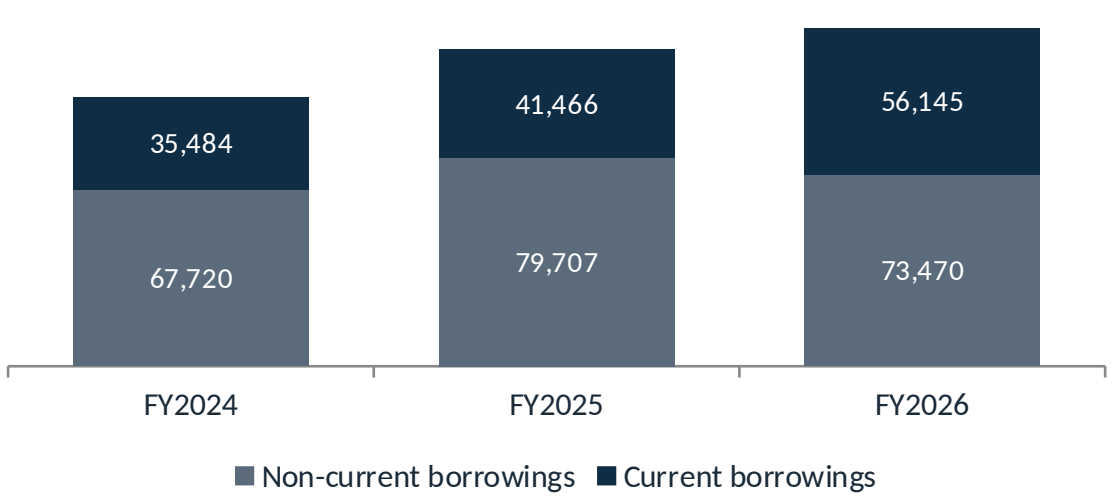
Consolidated, ₹ crore	FY2024	FY2025	FY2026
Revenue growth, year on year	–	+14.5%	+24.2%
PBT	15,977.79	19,079.62	25,184.76
Consolidated profit	12,269.82	14,073.17	18,621.71

Implication: higher scale and wider margins add earnings to service debt. The data show association, not cause; drivers are not analysed here.

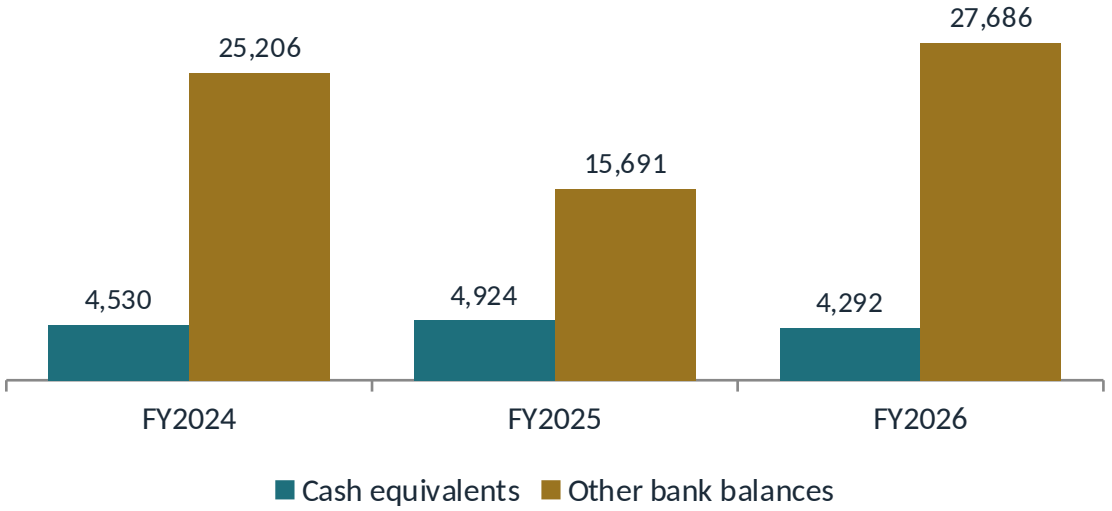
Source: M&M FY2025 and FY2026 annual reports (consolidated). Growth rates and margins calculated from reported figures; margins shown as reported approximations.

Borrowing growth slowed, but short-term debt rose sharply

Borrowings excl. leases, ₹ crore



Cash and bank balances, ₹ crore



Total: ₹121,173 cr to ₹129,615 cr; +17.4% in FY2025 vs +7.0% in FY2026.

Current: +35.4% in FY2026 to ₹56,145 cr; share of total 34.4% (FY2024) to 43.3% (FY2026).

Non-current: -7.8% in FY2026.

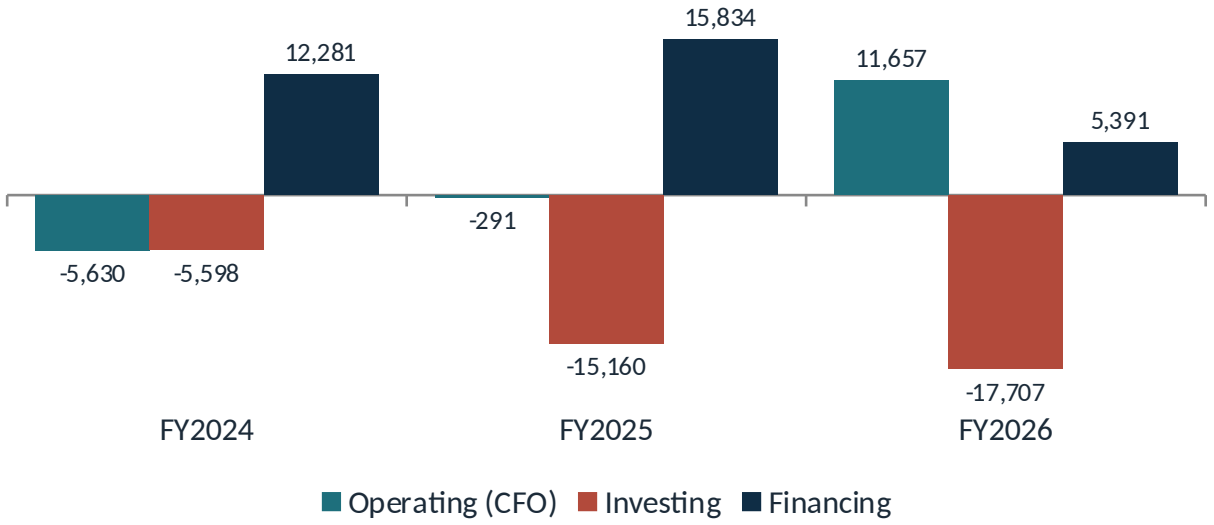
Restricted balances: other bank balances may include restricted or earmarked amounts.

Not free liquidity: gross cash plus other bank balances (₹31,979 cr, FY2026) should not be read as unrestricted.

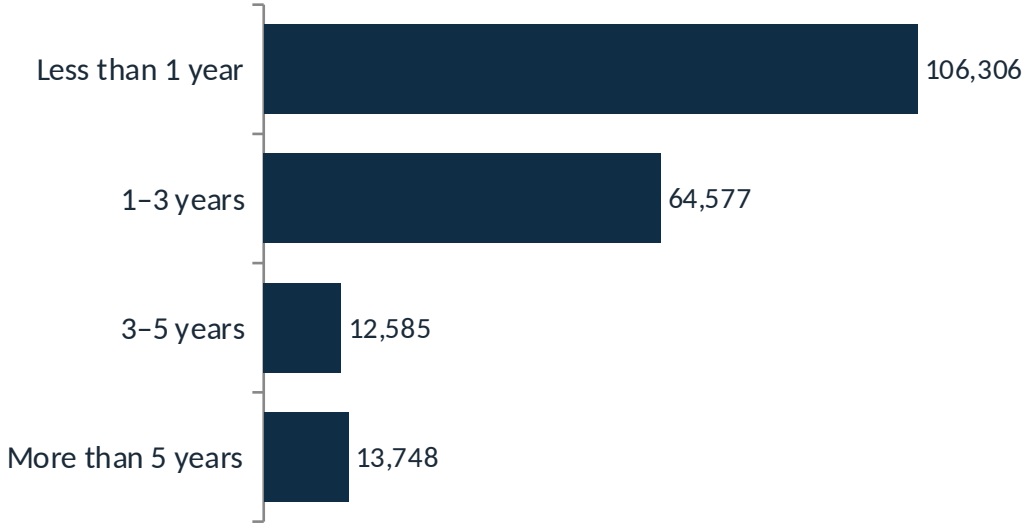
Source: M&M FY2025 and FY2026 annual reports (consolidated balance sheet). Growth rates and shares calculated; borrowings exclude lease liabilities.

CFO turned positive; near-term obligations remain large

Cash flow by activity, ₹ crore



FY2026 contractual maturities, ₹ crore



CFO rebound

CFO reached ₹11,657.36 cr in FY2026 from a negative ₹290.80 cr in FY2025. Sustainability requires analysis before it is treated as structural.

Reading the buckets

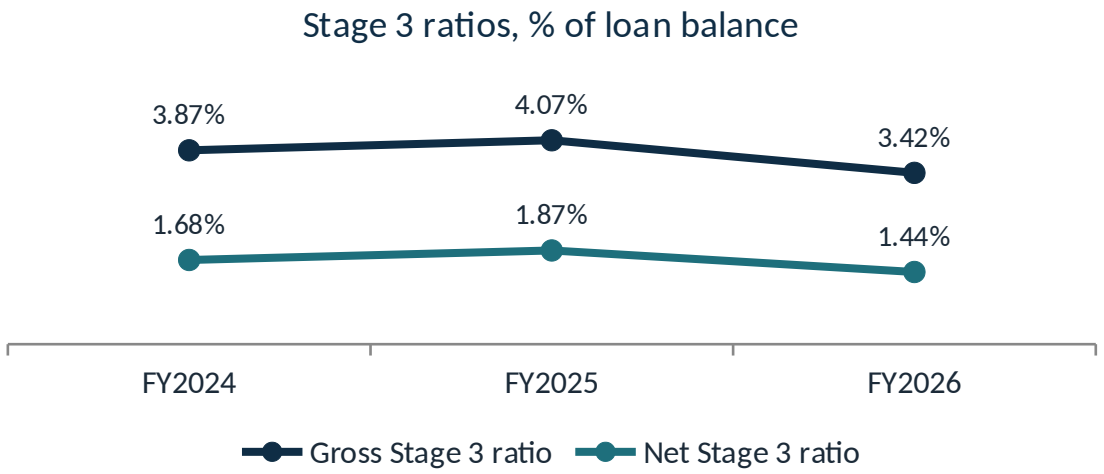
Total undiscounted contractual cash flows (principal, interest, trade payables, leases, other financial liabilities), not borrowings alone. Under 1 year: 53.9%.

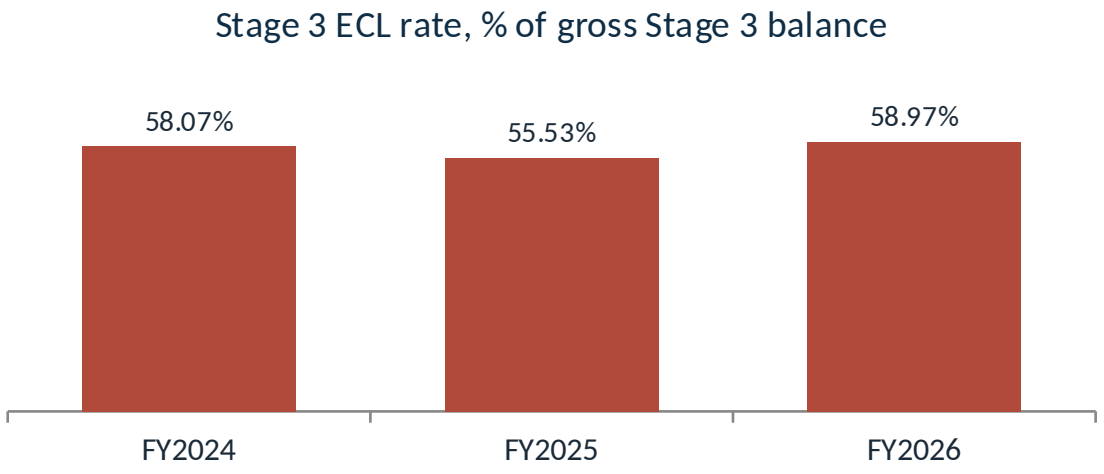
Open item

An unresolved ₹85.04 cr discrepancy exists between FY2026 borrowing-principal maturity buckets and balance-sheet borrowings.

Source: M&M FY2025 and FY2026 annual reports (consolidated cash-flow statement; FY2026 liquidity-risk maturity table). Share of buckets calculated.

Stage 3 ratios improved while Stage 3 coverage rose





Financial Services, ₹ crore	FY2024	FY2025	FY2026
Gross Stage 3 balance	4,146.74	5,059.32	4,789.90
Total gross loan balance	107,144.79	124,387.98	140,241.42
Net Stage 3 carrying amount	1,738.89	2,249.74	1,965.13
Total net loan carrying amount	103,482.28	120,338.24	136,113.88

Growth: gross loans +12.7% in FY2026 while the gross Stage 3 balance fell 5.3%, lowering the ratios to 3.42% gross and 1.44% net.
Provisioning: the Stage 3 ECL rate rose to 58.97% from 55.53%, so read loan growth and provisioning together.

Source: M&M FY2025 and FY2026 annual reports, Financial Services loan and ECL disclosures (consolidated). Ratios and ECL rate as supplied; growth calculated.

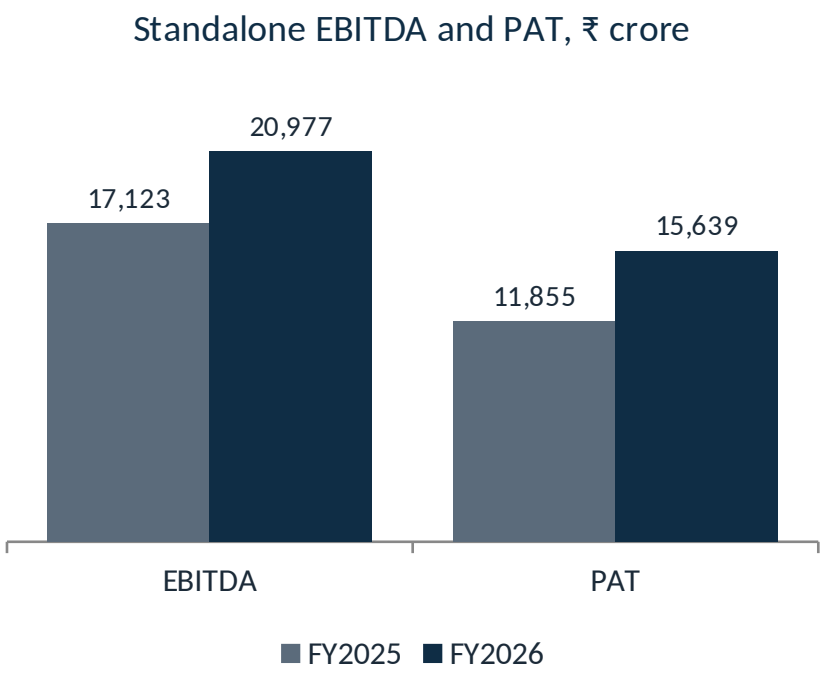
CRISIL's top-tier ratings rest on standalone strength

AAA / Stable
Non-convertible debentures

A1+
Short-term bank facilities

A1+
Commercial paper

CRISIL rationale dated 18 September 2026



Standalone	FY2025	FY2026
Op. income, ₹ cr	118,625	147,765
EBIT margin	11.1%	11.5%
Interest coverage	68x	84x

₹1,056 cr
FY2026 standalone debt

₹16,785 cr
Estimated FY2026 accrual

CRISIL cites: tractor leadership | improving vehicle position | diversification | financial flexibility and liquidity

Standalone CRISIL metrics are kept separate from the consolidated annual-report figures on other slides.

Source: CRISIL Ratings rationale for Mahindra & Mahindra Limited, 18 September 2026 (standalone key indicators).

Nine credit risks, each with a monitoring response

Risk	Key concern	Potential credit impact	Monitoring response
1. Automotive and UV competition	Intense competition in the largest segment	Slower growth or margin pressure	Track Automotive revenue and segment margin
2. Tractor and rural-demand cyclicality	Farm demand swings with rural conditions	Volatile revenue and margins	Monitor Farm Equipment revenue and demand
3. Capital expenditure and expansion	Large investment programmes	Outflows may outpace internal accrual	Compare capex with CFO and accrual
4. Acquisitions and investments	Investing outflow of ₹17,707 cr in FY2026	Higher funding need and integration risk	Review major deals and funding mix
5. Short-term borrowing and refinancing	Current borrowings are 43% of total	Rollover dependence if markets tighten	Track maturities and current-debt share
6. Financial Services loan quality	Stage 3 ratio 3.42%; ECL rate 58.97%	Credit losses could weigh on group earnings	Track Stage 3 ratios, ECL cover, loan growth
7. CFO sustainability	CFO positive only in FY2026	Weak cash conversion lifts funding needs	Monitor CFO and cash conversion each period
8. IT and general controls in Financial Services	Control gaps could affect loan-data reliability	Misstated loan quality or provisions	Review audit and control commentary
9. Regulatory and emissions risks	Evolving emissions and vehicle rules	Compliance cost or product-mix change	Monitor regulation and disclosed compliance spend

Source: analyst framing based on the sources on slide 12; monitoring responses are suggestions, not company disclosures. Figures are consolidated FY2026.

Ten indicators to track credit direction

Revenue growth and margins

Reference: FY2026: +24.2%; PBT margin 12.73%

Watch: PBT margin below FY2024 level (11.49%)

Borrowings and short-term maturities

Reference: Current debt 43.3% of borrowings

Watch: Share rising well above 43%

CFO and cash conversion

Reference: FY2026 CFO ₹11,657 cr

Watch: CFO turning negative again

Investing cash outflow vs CFO

Reference: FY2026: ₹17,707 cr outflow vs ₹11,657 cr CFO

Watch: Net gap widening beyond ₹6,050 cr

Gross and net Stage 3

Reference: 3.42% gross; 1.44% net

Watch: Gross above 4.07% (FY2025 level)

ECL coverage

Reference: Stage 3 ECL rate 58.97%

Watch: Below 55.53% while Stage 3 rises

Segment performance

Reference: Automotive 59% of segment revenue

Watch: Any segment revenue decline

Major acquisitions

Reference: Not quantified in this project

Watch: Large, debt-funded deals

Rating changes

Reference: AAA/Stable; A1+ (18 Sep 2026)

Watch: Outlook change or downgrade

IT and internal-control findings

Reference: Risk theme, slide 9

Watch: New or repeated findings

All watch levels are illustrative analyst suggestions, not company covenants or lender triggers.

Sources: M&M annual reports (consolidated); CRISIL rationale. Investing cash flow includes investments and bank deposits, not only capex.

Resilient profile, with clear points to monitor

Supports resilience

Operating scale, profitability and diversified activities support credit resilience.

CRISIL ratings are strong: NCDs AAA/Stable; short-term facilities rated A1+.

FY2026 CFO improvement is positive, but its sustainability needs assessment.

Warrants monitoring

Borrowings and near-term maturities remain material.

Investment outflows exceeded CFO in FY2026.

Financial Services: asset quality and provisioning need ongoing review.

Not a credit decision. A real decision would need borrower-specific information, current liquidity availability and forward-looking stress analysis. No rating or lending approval is assigned.

Sources and limitations

Official sources

M&M FY2026 annual report

https://www.mahindra.com/annual-report-FY2026/index.html

M&M FY2025 annual report

https://www.mahindra.com/annual-report-FY2025/toc/

CRISIL rating rationale (18 September 2026)

https://www.crisilratings.com/mnt/winshare/Ratings/RatingList/RatingDocs/MahindraandMahindraLimited_September%2018_%202026_RR_404981.html

M&M Q4 and full-year FY26 results announcement

https://www.mahindra.com/news-room/press-release/en/financial-results-quarter-4-and-full-year-fy26-standalone-and-consolidated-results

Disclosures and limitations

- Independent educational project.
- No affiliation with or endorsement by M&M.
- Annual-report figures are consolidated; CRISIL key indicators are standalone.
- Some bank balances may be restricted.
- The ₹85.04 crore maturity discrepancy remains unresolved.
- Not an official credit rating or lending recommendation.
- AI assistance does not replace source verification or analyst judgement.